



Staff Report

TO: Honorable Mayor and Members of the City Council
FROM: Robert L. Vestal, City Engineer | Public Works Director
BY: Matthew Mendoza, Senior Management Analyst
DATE: July 21, 2026
SUBJECT: First Amendment to the Fiscal Year 2027-2031 Capital Improvement Plan

Description: Resolution to amend the adopted five-year Capital Improvement Plan (CIP).

Motion:

If the City Council determined that Staff's recommendation is appropriate, the following motion is provided:

Hold a Public Hearing; Waive the full reading and adopt by title only, "A Resolution of the City Council of the City of Beaumont Amending the Five-Year Capital Improvement Plan for FY 2027-2031" and approve the Budget Adjustment.

Recommendation:

Staff recommends that the City Council approve the First Amendment to the City's Capital Improvement Plan to close out completed projects, provide additional funding to cover budget shortfalls, defer projects with budget constraints, and incorporate administrative name changes.

Discussion:

The City's Capital Improvement Plan (CIP) is a 5-year planning document that identifies the major capital improvement expenditures and gives a proposed sequence of implementing their design and construction. The CIP is reviewed, revised, and adopted annually to account for completed and newly identified projects. Occasionally, the CIP is amended within a given year to promote better use of the City's limited financial resources, focus priorities, update projects, and assist in the coordination of public and private development.

On June 16, 2026, City Council adopted Resolution No. 2026-32 , “A Resolution of the City Council of the City of Beaumont Adopting a Five-Year Capital Improvement Plan for Fiscal Years 2027-2031.” Government Code Section 66022 allows the City Council to periodically update the adopted CIP.

Staff is proposing to amend the CIP by renaming four (4) projects, revising the budget for five (5) projects, and closing eight (8) projects.

NAME CHANGES

The proposed amendment includes administrative name changes for four (4) projects to better reflect their current scope, purpose, and project objectives. These revisions improve consistency within the Capital Improvement Plan and do not modify the approved funding sources or budget.

The proposed project name changes are as follows:

CIP Project	New Name
R26-05 Citywide Traffic Signal System Upgrade	R26-05 Traffic Signal Smart Technology
R26-04 Traffic Signal Installation at Future Location	R26-04 Traffic Signal at Pennsylvania Avenue and Second Street
R26-13 Bicycle and Pedestrian Path	R26-13 Bicycle and Pedestrian Master Plan
R-22 Public Works Corporate Yard	R-22 Beaumont Transit Yard Preconstruction Services

BUDGET CHANGES

WW26-05 Wastewater Master Plan Update: The project budget is proposed to increase by \$150,000, from \$150,000 to \$300,000, utilizing available Wastewater Development Impact Fee (DIF-WW) funds. The additional funding will support completion of the City's Wastewater Master Plan Update.

Original Budget	New Budget	Funding Source
\$150,000	\$ 300,000	DIF-WW

R25-07 Traffic Signal at OVP and Palm Avenue: The project budget is proposed to increase by \$250,000, from \$661,084 to \$911,084, utilizing General Fund resources reallocated from Citywide Traffic Analysis Project (R-23). The additional funding will address project budget needs and allow the project to proceed to completion.

Original Budget	New Budget	Funding Source
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\$661,084	\$ 911,084	General Fund
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R25-13 Pennsylvania and First Traffic Signal Upgrade: The project budget is proposed to increase by \$15,989, from \$100,000 to \$115,989, utilizing Traffic Signal Development Impact Fees (DIF-TS) reallocated from the Cougar and Beaumont Avenue Traffic Signal Upgrade Project (R25-06). The additional funding reflects updated project costs.

Original Budget	New Budget	Funding Source
\$100,000	\$ 115,989	DIF-TS

R25-02 Citywide Sidewalk Improvement: The project budget is proposed to increase by \$301,227.66, from \$244,982 to \$546,209.66, to reflect the latest Community Development Block Grant (CDBG) agreement, which consolidates Fiscal Year 2025 (CIP R25-02), 2026 (CIP R26-02), and 2027 allocations into a single project. The amendment also includes a \$26,010 General Fund contribution from CIP R-19 to satisfy the required local match for the grant.

Original Budget	New Budget	Funding Source
\$244,982	\$ 546,209.66	CDBG and General Fund

R26-05 Traffic Signal Smart Technology: The project budget is proposed to increase by \$108,217, from \$1,000,000 to \$1,108,217, utilizing Traffic Signal Development Impact Fees (DIF-TS) reallocated from the Citywide Traffic Signal Upgrade and Capacity Improvement FY26 Project (R26-03). The additional funding will support expanded implementation of traffic signal system improvements throughout the City.

Original Budget	New Budget	Funding Source
\$1,000,000	\$ 1,108,217	DIF-TS

CLOSED PROJECTS

The following projects have been completed and can be formally closed. Staff proposes re-allocating balances to other active CIPs and returning excess funds to the appropriate fund balances.

R-07 Cherry Channel Drainage Project (Cougar to Oak Valley Parkway): The remaining \$23,705.88 in General Fund appropriations will be returned to the General Fund balance.

R-12 Second Street Extension Construction: The remaining \$1,232,350.47 will be returned to the General Fund balance, Road and Bridge DIF balance and the Measure A funding allocation will be adjusted to reflect the final project expenditures per the funding match requirements.

R-19 Downtown Streetlights and Sidewalk Maintenance: Of the \$42,903.40 remaining, \$26,010 will be transferred to the Citywide Sidewalk Improvement Project (R25-02) to satisfy the required CDBG local match. The remaining funds will be returned to the General Fund balance.

R-23 Citywide Traffic Analysis: The remaining \$250,000 in General Fund appropriations will be transferred to the Traffic Signal at Oak Valley Parkway and Palm Avenue Project (R25-07).

R26-02 Citywide Sidewalk Improvement: This project will be closed and funding will be consolidated under one project (R25-02) per the latest CDBG agreement.

R25-06 Cougar and Beaumont Avenue Traffic Signal Upgrade: Of the \$42,904 remaining in Traffic Signal Development Impact Fee funding, \$15,989 will be transferred to the Pennsylvania and First Traffic Signal Upgrade Project (CIP R25-13). The remaining amount will be returned to the respective fund balance.

R26-03 Citywide Traffic Signal Upgrade and Capacity Improvement FY26: The remaining \$108,217 in Traffic Signal Development Impact Fee funding will be transferred to the Citywide Traffic Signal System Upgrade Project (CIP R26-05).

PS24-01 Fire Squad

The remaining \$121,001 in General Fund appropriations will be returned to the fund balance.

Fiscal Impact:

The estimated cost to prepare this staff report is \$750.

As proposed in this amendment, the City will close out \$1,951,082 in remaining appropriations from completed projects and reprogram \$825,434 to active capital improvement projects. The remaining balances are returned to the appropriate funding sources or fund balances.

The following table summarizes the proposed Capital Improvement Plan changes:

CIP Project	Current Budget	Amended Budget	Net Change	Funding Source	Action
WW26-05 Wastewater Master Plan Update	\$150,000.00	\$300,000.00	\$150,000.00	DIF-WW	Budget Change
R25-07 Traffic Signal at OVP and Palm Avenue	\$661,084.00	\$911,084.00	\$250,000.00	General Fund	Budget Change
R25-13 Pennsylvania and First Traffic Signal Upgrade	\$100,000.00	\$115,989.00	\$15,989.00	DIF-TS	Budget Change
R25-02 Citywide Sidewalk Improvement	\$244,982.00	\$546,209.66	\$301,227.66	CDBG Grant, General Fund	Budget Change
R26-05 Traffic Signal Smart Technology	\$1,000,000.00	\$1,108,217.00	\$108,217.00	DIF-TS	Budget Change and Name Change
PS24-01 Fire Squad Replacement	\$400,000	\$278,999	(\$121,001)	General Fund	Close
R-07 Cherry Channel Drainage Project (Cougar to OVP)	\$217,000.00	\$193,294.12	(\$23,705.88)	General Fund	Close
R-12 Second Street Extension Construction	\$5,800,000.00	\$4,567,649.53	(\$1,232,350.47)	General Fund, Measure A, R&B DIF	Close
R-19 Downtown Streetlights	\$650,000.00	\$607,096.60	(\$42,903.40)	General Fund	Close

and Sidewalk Maintenance					
R-23 Citywide Traffic Analysis	\$250,000.00	\$0.00	(\$250,000.00)	General Fund	Close
R26-02 Citywide Sidewalk Improvement (Prior Project)	\$130,000.00	\$0.00	(\$130,000.00)	CDBG Grant	Close
R25-06 Cougar and Beaumont Ave Traffic Signal Upgrade	\$350,000.00	\$307,096.00	(\$42,904.00)	DIF-TS	Close
R26-03 Citywide Traffic Signal Upgrade & Capacity Improvement FY26	\$132,217.00	\$24,000.00	(\$108,217.00)	DIF-TS	Close

Alternatives:

Not applicable.

Attachments:

- A. CIP Resolution – Amendment 1
- B. CIP Project List
- C. CIP Change Log
- D. CIP Public Notice
- E. Budget Adjustment Form